Future Gold Labs

X (Twitter): https://x.com/futuregoldx

TG: https://t.me/futuregoldlabs

Author： Koi

Reviewer： Jake Liu

Weekly Gold Wrap

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I. Gold Price Recap

For the week ending with New York close on October 16, COMEX gold futures registered a V-shaped weekly trajectory. The price dipped to near $4,100/oz on Wednesday, then rallied on Thursday and Friday to recover most losses. The contract closed 0.70% lower at $4,186.7/oz. COMEX silver futures settled at $57.13/oz, down 6.41% over the week. Precious metals exhibited a pattern of bottoming followed by a rebound.

Gold faced pressure at the start of the week and staged a notable rebound in the latter half. The gold price traced a V-shaped curve. Higher-than-expected CPI data on Wednesday triggered a sharp selloff, and the subsequent decline in US Treasury yields, coupled with dovish-leaning remarks by Warsh that scaled back rate-hike expectations, fueled a sustained recovery in gold prices. The coming week will see few high-impact economic releases, and the Federal Reserve will enter its FOMC blackout period, during which officials are prohibited from public comments on monetary policy. Gold price volatility may therefore be constrained.

-Monday saw renewed escalation in Middle East geopolitical tensions, as the passenger terminal at King Khalid International Airport in Riyadh came under attack. The geopolitical news pushed gold marginally lower. However, the US Columbus Day holiday shut the US Treasury market, resulting in low market liquidity and limited gold price swings.

-On Tuesday, market sentiment remained cautious, with investors awaiting US September inflation data scheduled for Wednesday. Trading activity was thin, and gold edged down slightly.

-Wednesday's US September CPI print topped market estimates. Rising inflation boosted the US Dollar and Fed rate-hike expectations, triggering heavy selling pressure and a sharp drop in gold, which closed near $4,100/oz.

-Thursday brought a sharp drop in US Treasury yields, lifting gold by 1.6% and recouping most weekly losses. Meanwhile, market reports circulated that China transferred part of its US Treasury holdings to overseas custodian institutions.

-During Friday's Asian session, Fed official Warsh delivered a speech at the IMF conference and sent no signal of an October rate hike. US Treasury yields extended their decline, market pricing for an October rate hike retreated, and gold continued its rebound toward $4,200/oz. Warsh struck a cautiously optimistic tone. He acknowledged lingering risk concerns stemming from the global financial crisis while expressing optimism over structural growth, refusing to pre-commit to a preset monetary policy path.

II. Key Drivers Behind Gold's Volatility

1) U.S. Economic Indicators Drive Sharp Correction in Gold

(1) Major U.S. economic indicators released this week and their impact on gold prices

➢ **(1) September Consumer Price Index (CPI):**

Inflation readings exceeded market consensus. Headline CPI rose 3.7% year-on-year and 0.6% month-on-month. Core CPI, excluding food and energy, climbed 0.3% month-on-month. Energy prices were the primary driver of the inflation surge. Upon release, markets rapidly priced in higher odds of Fed rate hikes, the US Dollar strengthened and gold came under short-term pressure, as investors repriced the Fed's policy trajectory.

➢ **(2) September Producer Price Index (PPI):**

Upstream producer inflation rose markedly. Headline PPI jumped 6.3% YoY and 1.3% MoM, while core PPI also advanced. Higher prices for upstream goods and services signal risks of inflation transmission to consumer sectors, further confirming sticky inflation.

➢ **(3) September Retail Sales:**

Retail sales grew 0.8% month-on-month, beating forecasts and demonstrating resilient US household consumption. Higher gasoline prices partly lifted nominal sales values, and robust consumption underpinned persistently elevated inflation.

➢ **(4) Initial Jobless Claims:**

Weekly initial jobless claims stayed at low levels with no obvious signs of deterioration, indicating the US labour market remained tight and has yet to cool.

➢ **(5) September Industrial Production:**

Industrial production rose 0.7% month-on-month alongside higher capacity utilization. Output in manufacturing and utilities picked up, reflecting modest improvement in US industrial activity and solid overall economic fundamentals.

(2) Impact on Gold

US inflation, consumption and labour market data were generally strong this week, temporarily lifting rate-hike expectations and weighing on gold. Once the bearish data was fully priced in, market expectations retreated and gold rebounded. Solid economic fundamentals also capped gold's upside potential.

2) Monetary Policy & Gold Market Impact

(1) Fed Developments & Official Views

➢ This week marked the final speaking window ahead of the October 27 – 28 FOMC meeting. The Fed entered its blackout period starting October 17, when officials suspend public commentary on monetary policy. Market focus centred on Fed Chair Warsh's keynote speech at the IMF and World Bank Annual Meetings on Friday, alongside the release of the Fed Beige Book on Wednesday.

➢ Warsh stated that global developments had broadly matched expectations since the September FOMC meeting, and the remaining two FOMC meetings this year would be pivotal for shaping concrete policy outcomes. He explicitly opposed pre-releasing potential policy actions for upcoming meetings, stressing that policy would be entirely data-dependent with no predetermined path. Warsh also noted deep-rooted risk caution inherited from the global financial crisis, while highlighting structural growth and AI investment booms as economic tailwinds.

➢ **Key Fed Leadership Remarks**

- Kevin Warsh (Fed Chair): Cautiously optimistic. He remained alert to downside tail risks and viewed AI as a near-term catalyst for demand and improved data confidence. He did not rule out further policy tightening but would not send clear signals ahead of the October meeting; policy decisions would hinge entirely on incoming economic data.

- Christopher Waller (Fed Governor): Optimistic about AI's long-term productivity gains. Surging

investment driven by AI development and associated demand have generated measurable price impacts, yet it is too early to judge whether AI will raise the neutral interest rate.

- Michelle Bowman (Fed Vice Chair for Supervision): Speaking at an economic forum in Bangkok, she maintained her stance. Inflation remains above the 2% target and warrants continuous monitoring. Further tightening cannot be ruled out, yet there is no urgency for immediate rate hikes.

- Beth Hammack (Cleveland Fed President): Policymakers have time before making the next monetary policy decision and need to fully assess the lagged effects of prior rate adjustments.

(2) Market Watch Data

➢ **Prime Market Terminal Data:**

Per the CME FedWatch Tool, rate-hike expectations experienced sharp swings this week. After Wednesday's September CPI release, the probability of a 25bp rate hike in October briefly climbed to roughly 40%, lifting the US Dollar and pressuring gold. The subsequent drop in US Treasury yields on Thursday, paired with Warsh's non-hawkish speech on Friday, pulled the odds of an October hike down to approximately 10%, with unchanged rates becoming the consensus market view. The dominant market narrative remains "higher rates for longer", and rate-cut expectations have been pushed out to 2027.

(3) Impact on Gold Prices

Fed policy expectations shifted from hawkish to dovish this week. Hot inflation data initially lifted rate-hike expectations and pressured gold. Warsh's remarks eased tightening expectations and offered support to gold. The Fed's retention of rate-hike options continues to cap gold's upside.

3) Yields, USD & Gold Dynamics

(1) Dollar Index Behavior

The US Dollar Index (DXY) closed near 101.6 on Friday, down roughly 0.35% for the week, marking its first weekly loss in nearly a month. The index traded high then low. Early in the week, the Dollar traded sideways to firmer as markets awaited inflation prints. After the hotter-than-expected September CPI release on Wednesday, rate-hike expectations surged and the Dollar hit its weekly peak. Subsequently, falling Treasury yields and Warsh's non-hawkish remarks at the IMF Annual Meetings drove two consecutive days of Dollar declines from its intraday high. While Wednesday's data temporarily bolstered the Dollar, the rapid cooling of October rate-hike expectations triggered a pullback. US economic fundamentals remain resilient, keeping the Dollar in a broad high-level consolidation pattern.

(2) **US Treasury Yields & Gold Dynamics**

The 10-year US Treasury yield saw a dramatic V-shaped reversal this week. It spiked sharply after Wednesday's above-consensus CPI release before retreating, closing near 5.08% on Friday. The core logic: hotter inflation boosted rate-hike expectations, triggering long-end Treasury sell-offs and higher yields. Thursday's market news that China relocated part of its US Treasury holdings to overseas custodian banks drove a sharp drop in Treasury yields. Warsh's dovish remarks on Friday further cooled rate-hike expectations and pushed yields lower. Although inflation data temporarily lifted yields, the marginal easing of policy expectations pulled long-end yields down from highs. Real interest rates stay elevated, yet upward pressure has eased.

(3) Impact on Gold

.Hot inflation data early in the week lifted Treasury yields and strengthened the US Dollar, raising the opportunity cost of holding non-yielding gold and sending gold lower. Later, marginal easing of policy expectations pulled Treasury yields and the Dollar down from highs, significantly easing pressure on gold

and triggering a rebound. The rise-then-fall pattern of Treasury yields and the US Dollar was the core driver behind gold's weekly V-shaped move.

4) Geopolitical Tensions & Safe-Haven Demand

(1) Geopolitical Tensions

1) **Escalating Middle East Tensions: Houthi Forces Launch Successive Attacks on Saudi Arabia**

Middle East geopolitical risks intensified this week as Houthi militias carried out multiple large-scale attacks on Saudi targets. From October 11 to 12, Houthi forces targeted Saudi airports and energy assets, firing missiles at King Khalid International Airport in Riyadh and striking King Khalid Air Base in southwestern Saudi Arabia. On October 14, Houthi attacks escalated further, deploying ballistic missiles, cruise missiles and drones to hit Saudi Aramco's oil facilities in Dhahran, King Khalid International Airport in Riyadh and Aramco refineries, causing facility damage and fires.

According to the Saudi-led coalition's statistics, Houthi attacks on King Khalid International Airport in Riyadh since October have caused 17 fatalities and 333 injuries. Yemen's Aden International Airport was also hit by a missile on October 16, with no casualties aboard the targeted aircraft. Iran denied inciting repeated Houthi strikes on Saudi Arabia and renewed offers of mediation.

2) **Sharp Rally in Crude Oil Prices**

Escalating Middle East geopolitics drove a substantial rise in international crude oil prices. At Friday's close, WTI crude futures on NYMEX settled at $101.41 per barrel, up 3.51% on the day and around 7.8% for the week. Brent crude closed at $109.86 per barrel, rising 3.72% on the day and 4.8% week-on-week. Direct attacks on Saudi oil facilities stoked market fears of crude supply disruptions and pushed up geopolitical risk premiums.

(2) Impact on Gold

Escalating Middle East tensions and repeated Houthi attacks on Saudi airports and oil assets lifted safe-haven sentiment and offered near-term support to gold. The sharp oil rally also reignited market concerns over energy-driven inflation and reinforced expectations of inflation stickiness. Nevertheless, US Treasury yields and the US Dollar remained the dominant factors governing gold pricing. Safe-haven buying only provided a floor and failed to drive an independent bull run for gold.

5) Tariff Turmoil Drives Gold Swings

① Tariff & Trade Policy Developments

- - The most important tariff development this week: on October 16, Trump signed an executive order exempting most provisions under the *Graham Sanctions on Russia and Iran Act of 2026*. Exemptions cover the maximum 500% ad valorem tariff on goods imported from Russia and a 100% ad valorem tariff on US-bound goods from the top five importers of Russian crude oil and natural gas. The exemptions remain effective until the President, in consultation with the Secretary of State and Treasury Secretary, takes further action. This move greatly reduced tail risks of drastic tariff escalation.
- - On the EU side, the European Commission announced definitive anti-dumping duties on pea protein imports from China and provisional safeguard measures on grain-oriented electrical steel, applying tariff quotas paired with price thresholds to restrict imports. The overall tariff framework between China-US and China-EU remains unchanged, with no new large-scale tariff hikes. Existing anti-dumping and countervailing duty cases are under routine review.

② **Impact on Gold Prices**

Trump's executive order waiving steep Russian tariffs significantly reduced extreme risks of escalating trade friction and marginally improved the global trade environment. The EU's newly imposed anti-dumping and safeguard measures are limited in scope and did not materially alter inflation expectations or commodity supply chains. Overall, tariff developments this week leaned toward easing and exerted muted influence on gold, unable to trigger standalone gold price swings.

6) Gold Market Observation

1. **World Gold Council (WGC) Report:2026 Chinese jewellery retailer insights: Confidence check**

① **Macroeconomic backdrop: China in a cyclical transition phase**

China's gold jewellery consumption measured by tonnage faced headwinds in H1 2026, hitting the lowest H1 level since 2006, mainly weighed down by weak consumer confidence and elevated gold prices. However, total consumption value rose year-on-year to near all-time highs, showing consumers reduced purchase weight rather than abandoning gold jewellery purchases.

China's economy is undergoing structural transition from a property-driven model to a tech-led growth model. The transition has dampened consumer confidence and directly reshaped jewellery retailer's product mix, inventory planning and store layout. For the seventh consecutive year, the WGC partnered with China Gold News to conduct this survey, covering 744 store managers and regional directors nationwide. The sample is tilted toward lower-tier cities, which account for 50% of respondents while first and second-tier cities make up a smaller share, reflecting lower-tier markets as the mainstay of China's gold consumption.

② **Shifts in China's gold demand structure**

China's gold investment demand outpaced jewellery consumption for the first time in 2025, a trend sustained into H1 2026: investment demand reached 342 tonnes in H1, versus only 136 tonnes of jewellery consumption.

Slower economic growth, falling deposit rates and a weak property sector lifted household's appetite for precautionary savings. Funds have flowed into gold for wealth preservation and portfolio diversification. Meanwhile, new VAT rules introduced at end-2025, paired with high gold prices, suppressed discretionary spending and dragged down jewellery demand. The current environment is not an economic recession but a shift between old and new growth engines, with high-tech industries contributing nearly 40% of GDP growth. Historical patterns show that in periods of subdued economic activity, investment gold outperforms jewellery demand.

③ **Core trends in jewellery retail**

- Gold jewellery remains retailer's top revenue source, accounting for 60% of total revenue; silver jewellery 13%, gemstones and pearls 10%, gold investment products 6%, diamonds 8%, platinum 3%. High gold prices plus VAT increases lifted costs and slightly reduced gold's revenue share. VAT reform hit retailer's gold bar business hardest: selling gold investment products through non-member channels faces a roughly 13% tax increase. Most franchise retailers have reduced or suspended gold bar sales.
- Heritage-style gold and Hard Pure Gold continue to drive sales: H1 2026 jewellery consumption tonnage fell 30% YoY, yet total sales value rose 5% YoY to RMB 144 billion, the second-highest H1 sales level on record. Faced with budget constraints, consumers opt for smaller-weight pieces. Heritage gold and Hard Pure Gold have outperformed other categories for four straight years. 15% of retailers reported rising revenue from heritage gold, and 12% saw higher Hard Pure Gold revenue. The market shows polarization: lightweight, affordable heritage and Hard Pure Gold drive volume, while heavy-weight, high-craft heritage gold targets high-net-worth clients.

- Self-reward purchases became the primary motivation for jewellery buying: 44% of retailers reported customers bought gold for self-indulgence (27% in 2024 and 37% in 2025). Wedding-related purchases accounted for merely 17% and kept declining. Gold jewellery has evolved from traditional wedding gifts to discretionary consumption for emotional fulfilment and self-expression. Self-reward consumption correlates closely with income expectations and consumer confidence, lending cyclical characteristics to jewellery demand.
- Hard Pure Gold attracts younger buyers: Hard Pure Gold features lightweight designs and cross-border inlays with enamel and diamonds, appealing to younger demographics. The 18–34 age bracket remains the core consumer group for gold jewellery. Young buyers separate purchases into two categories: gold jewellery for emotional consumption and gold holdings for wealth preservation.
- Most retailers remain in inventory destocking, with divergent views across the industry: 45% of surveyed retailers plan to further cut gold inventories. The share of merchants reducing inventories for three consecutive years exceeds those building inventories. Over 40% intend to maintain current stock levels. The industry is not undergoing a universal retreat, only prudent adjustments. High gold prices have created funding pressure and slower inventory turnover, forcing some store closures and expansion freezes.
- Retailers hold the strongest confidence in gold among jewellery categories: compared with diamonds, platinum and other jewellery segments, retailers have the most optimistic outlook for gold sales. More than 60% believe weaker consumption is merely delayed by high gold prices rather than permanently lost. Once consumers adapt to price levels, demand should recover. While elevated gold prices suppress immediate consumption, sustained high gold prices will reinforce gold's appeal as a store of value over time.
- Shift toward lightweight products and high labour-cost craftsmanship: 40% of retailers plan to add products under 5g, and 47% plan to expand the 5–10g product range. Pieces under 10g have become mainstream. Meanwhile, 62% of retailers prioritise high-craft products to boost gross margins via design and craftsmanship. The remaining merchants opt for low-craft items to accelerate inventory turnover, leading to further divergence in business strategies.

④ **Summary**

China's gold jewellery sector is undergoing adjustment rather than recession, characterised by “lower tonnage but higher value”. Gold remains the core category for jewellery retailers.
- Gold consumption by weight is down while total sales value stays elevated; heritage gold and Hard Pure Gold serve as core growth pillars, with younger buyers supporting Hard Pure Gold sales.
- Fundamental demand drivers have shifted: self-reward purchases have replaced wedding-related demand.
- Retailers widely believe subdued consumption reflects deferred demand rather than permanent demand destruction.
- Inventory strategies are split: some merchants cut inventories to ease capital pressure while others maintain holdings.

In the long run, gold jewellery consumption is expected to recover alongside cyclical economic improvement. This structural transformation of gold jewellery as a medium for self-expression exerts a more profound impact on the industry than short-term gold price cycles.

III. Outlook & Key Catalysts

➢ **Next Week's Focus:**

Oct 20 (Tue): New York Fed Empire State Manufacturing Index (Oct)

Oct 21 (Wed): US September housing starts, building permits, EIA crude oil inventories

Oct 22 (Thu): Weekly initial jobless claims, Philadelphia Fed Manufacturing Index (Oct)

Oct 23 (Fri): University of Michigan Consumer Sentiment and Inflation Expectations (Oct Final)

Core Outlook: Focus on housing, manufacturing and labour market high-frequency data next week. The Fed stays in its blackout period. Gold prices will be mainly driven by US Treasury yields and the US Dollar. Watch for abrupt developments in the Middle East.

Key Risks: Escalation of Middle East conflicts triggering safe-haven buying; US economic data shifting rate-hike expectations and causing gold volatility; sharp oil price swings disrupting inflation expectations.

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